

Standard Chartered Credit Analyst

Assessing the creditworthiness of Green Solutions Manufacturing Ltd — quantitative ratio analysis of two years of financial statements, plus reusable-products industry research to frame the sector outlook.

Task 1 · Financial Health Analysis

Task 2 · Industry Research

+70.7%

revenue growth FY22→FY23

17.5x

EBITDA interest cover

1.2x

leverage, down from 7.8x

Proceed

with covenants

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Data & Finance Analytics

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Verified Certificate

A strengthening credit profile.

Over FY2022–FY2023, Green Solutions Manufacturing Ltd delivered strong revenue growth alongside a marked improvement in profitability, margins and interest cover, and a sharp reduction in leverage. Liquidity remains adequate but is trending down, and one data-quality issue in the reported capital expenditure should be clarified before the credit decision is finalised. On balance, the trend supports moving forward — subject to covenants and monitoring.

+70.7%

 revenue £31.5m →
£53.8m

+554.8%

 profit after tax £0.9m →
£5.6m

2.1x → 17.5x

EBITDA interest cover

7.8x → 1.2x

leverage (debt / EBITDA)

+92.6%

 operating cash flow £5.9m
→ £11.4m

1.9x → 1.4x

current ratio (declining)

Net cash

 negative net leverage
both years

2 yrs

financials available

What the analysis showed

- Profitability improved faster than revenue: EBITDA margin more than doubled (4.7% → 10.3%) and operating margin nearly doubled (6.3% → 12.1%) — a broad-based, genuine operating improvement.
- The balance sheet de-levered materially: net worth rose +33.1% to £31.6m, and cash exceeded gross debt in both years (negative net leverage).
- Cash generation is real: operating cash flow nearly doubled to £11.4m, comfortably covering investment spend once the capex units issue is corrected.
- Analyst catch: reported capex appears to be in £'000s rather than £m, distorting Free Cash Flow — flagged for client clarification before reliance.
- The sector backdrop is supportive: reusable-products markets are growing structurally on sustainability and regulatory tailwinds (Task 2).

The numbers moved the right way.

Two years of Income Statement, Balance Sheet and Cash Flow data were rebuilt and analysed. Every headline line improved year-on-year, and the improvement is spread across the statements rather than concentrated in a single item.

Metric	FY2022	FY2023	Change
Revenue	£31.5m	£53.8m	+70.7%
EBITDA	£1.5m	£5.5m	+269.6%
Operating margin	6.3%	12.1%	+5.8pp
Profit before tax	£1.2m	£6.3m	+449.7%
Profit after tax	£0.9m	£5.6m	+554.8%
Total assets	£52.1m	£62.1m	+19.1%
Net worth (equity)	£23.7m	£31.6m	+33.1%
Operating cash flow	£5.9m	£11.4m	+92.6%

Revenue, EBITDA & operating cash flow (£m)



Profitability up, leverage down.

Ratio	FY2022	FY2023	Read
EBITDA margin	4.7%	10.3%	More than doubled
Operating margin	6.3%	12.1%	Genuine operating gain
EBITDA interest cover	2.1x	17.5x	Now very comfortable
Leverage (debt / EBITDA)	7.8x	1.2x	Sharp de-leveraging
Net leverage	-5.2x	-1.9x	Cash > gross debt
Current ratio	1.9x	1.4x	Adequate but declining

Analyst catch — data-quality flag

Reported capital expenditure appears to be stated in £'000s rather than the £m used elsewhere, which understates it and makes Free Cash Flow look sharply negative. On a consistent £m basis, capex rose from c.£3.2m to c.£8.0m and Free Cash Flow was positive in both years (c.£2.7m and c.£3.4m). Flagged for client clarification before the figure is relied upon for the credit decision.

Ratios were computed across profitability (operating profit, net profit, margins, ROA/ROCE/ROE), liquidity (current and quick ratios) and leverage (debt/EBITDA, net leverage, interest cover) using the standard credit-analysis framework.

Five risks worth watching.

Declining liquidity

Current ratio fell 1.9x → 1.4x. Still above the 1.0x minimum, but continued deterioration would erode headroom for short-term obligations.

Data-quality / reporting risk

The capex units inconsistency distorts Free Cash Flow and the cash-flow-to-capex ratio; must be clarified with the client before reliance.

Cash down despite higher profits

Cash fell 9.3% year-on-year as the business reinvests heavily; sustained cash consumption could tighten liquidity if growth slows.

Short track record

Only two years of financials, both showing c.70%+ revenue growth — execution and scalability risk; sustainability through a full cycle is unproven.

Working-capital build

Inventories up +40.4%; continued build ahead of sales could absorb cash otherwise available for debt service.

A sector with structural tailwinds.

Green Solutions operates in reusable / sustainable consumer products. Two market studies were reviewed to frame the demand backdrop behind the company's rapid revenue growth and to sense-check the credit outlook.

Reusable coffee cup market

\$13bn → \$25bn

2019 → 2031 · CAGR 5.8%

Growth driven by anti-plastic regulation, rising reusable-cup adoption and tourism. Europe is the largest region; residential the fastest-growing segment.

Reusable water bottle market

\$8.8bn → \$11.5bn

2024 → 2034 · CAGR 2.8%

Expansion driven by environmental concern, government regulation, health consciousness and the broader push toward sustainable living.

Why it matters for the credit

Both markets are growing on durable sustainability and regulatory drivers rather than a cyclical spike. That structural demand backdrop lends credibility to Green Solutions' revenue trajectory and supports a constructive medium-term view — while the short two-year record still warrants the covenants below.

Proceed — with clarifications and covenants.

The credit profile is clearly strengthening. The recommendation is to move forward with the assessment, conditioned on resolving the data-quality item and protecting against the liquidity trend reversing.

- Clarify the capital-expenditure and Free Cash Flow figures with the client to resolve the units inconsistency, and confirm the corrected FCF position.
- Request at least one further year of financials (or interim management accounts) to confirm the growth, margin and de-leveraging trends are sustained.
- Proceed subject to standard covenants — a minimum current ratio and a maximum leverage (debt/EBITDA) threshold — to guard against a liquidity reversal.
- Monitor the current ratio and cash balance at each reporting period, as both moved opposite to profitability.
- Review the composition of EBITDA add-backs to confirm earnings quality behind the margin improvement.

Conclusion

Green Solutions Manufacturing Ltd shows a clearly strengthening credit profile over FY2022–FY2023: revenue and profitability grew substantially, leverage fell sharply, and interest cover is now strong. These positives are tempered by a declining (though adequate) current ratio, a falling cash balance, a short two-year record of very rapid growth, and the capex data-quality issue. Overall, the trend supports proceeding — subject to the clarifications and monitoring covenants above.

Prepared as the basis for discussion with Darren, the credit officer. Prepared by Dhruv Kamdar, Credit Analyst — 14 September 2026.

Certificate of completion.

Issued by Forage on completion of the Standard Chartered Credit Analyst Job Simulation — practical tasks in financial health analysis and industry research.



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Dhruv Kamdar Credit Analyst Job Simulation

Certificate of Completion
September 14th, 2026

Over the period of September 2026, Dhruv Kamdar has completed practical tasks in:

Financial health analysis
Industry research

Tom Brunskill
Co-Founder of Forage

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